

24CV02182 Derek Casey v. Marborg Recovery, LP, et al

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Division: Civil Law & Motion

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Motion: Motion for Preliminary Approval of Class Settlement

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Case Number

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Case Type

Civil Law & Motion

Hearing Date / Time

Fri, 09/04/2026 - 10:00

Nature of Proceedings

Motion for Preliminary Approval of Class Settlement

Tentative Ruling

For all reasons stated herein, the motion of plaintiff Derek Casey for preliminary approval of class action settlement is granted. The court approves certification of the provisional settlement class as requested by plaintiff and approves the class notice attached to the settlement agreement. The provisional settlement class consists of all individuals who were employed by Defendants in California and classified as a non-exempt employee at any time during the Class Period from April 18, 2020, through February 5, 2026. Plaintiff is appointed as representative for the settlement class, plaintiff's counsel of record is appointed as counsel for the settlement class, and Apex Class Action LLC is appointed as settlement administrator. The final approval hearing shall take place on March 12, 2027, at 10:00 a.m. in this department. The parties shall promptly carry out the notice procedures set forth in the settlement agreement.

Background:

On April 18, 2024, this action was initiated when plaintiff Derek Casey filed a class action complaint against defendants Marborg Recovery, LP (Marborg Recovery), Marborg Recovery Management, LLC (Marborg Management), and Marborg Industries, setting forth nine causes of action based on violations of various statutes in the Labor Code and implementing wage orders from the Industrial Welfare Commission.

On July 26, 2024, plaintiff filed a second action, Casey v. Marborg Recovery, LP, et al., Santa Barbara Superior Court case No. 24CV04140 (PAGA Action), for civil penalties under the Private Attorneys General Act of 2004 (PAGA) against the same defendants based on the same or similar alleged course of conduct.

On July 18, 2024, defendants filed a general-denial answer to the original complaint in this action and set forth 41 affirmative defenses.

On December 5, 2025, the parties engaged in an all-day mediation and reached a settlement. (Declaration of Kyle R. Nordrehaug [Nordrehaug Decl.], ¶ 5.)

On February 11, 2026, plaintiff filed the operative first amended complaint (FAC) in this action setting forth ten causes of action for: (1) unfair competition in violation of Business and Professions Code section 17200 et seq.; (2) failure to pay minimum wages in violation of Labor Code sections 1194, 1197, and 1197.1; (3) failure to pay overtime wages in violation of Labor Code section 510; (4) failure to provide meal breaks in violation of Labor Code sections 226.7 and 512, and applicable wage order; (5) failure to provide rest periods in violation of Labor Code sections 226.7 and 512, and applicable wage order; (6) failure to provide accurate wage statements in violation of Labor Code section 226; (7) failure to reimburse for expenses in violation of Labor Code section 2802; (8) failure to pay wages in violation of Labor Code sections 201, 202, and 203; (9) failure to pay sick pay wages in violation of Labor Code sections 201 through 203, 233, and 246; and (10) civil penalties for violation of PAGA. Marborg Management is not named as a defendant in the FAC.

As alleged in the FAC: Defendants Marborg Recovery and Marborg Industries (collectively, Defendants) perform recycling and disposal services in California. (FAC, ¶ 4.) Plaintiff worked for Defendants from November 2023 to January 27, 2024, as a nonexempt employee. (FAC, ¶¶ 3, 5.) Defendants require their employees to work while clocked out, require their employees to work without recording actual time worked, require their employees to record time via improper rounding procedures, fail to properly calculate premium pay for missed meal and rest breaks, fail to pay overtime, fail to provide required meal and rest breaks, and fail to timely pay wages owed, among other violations. (FAC, ¶¶ 10-24.) Plaintiff seeks to represent a putative class of similarly situated persons employed by Defendants in California as nonexempt employees from April 18, 2020, to February 5, 2026. (FAC, ¶¶ 27-36.) Plaintiff also seeks to represent a subclass of persons who were previously employed by Defendants in California as nonexempt employees at any time from April 18, 2020, to February 5, 2026. (FAC, ¶¶ 37-48.)

On February 13, 2026, plaintiff and Defendants executed a long-form settlement agreement (Agreement). (Nordrehaug Decl., Ex. 2.)

Defendants have not filed a pleading in response to the FAC. However, as stated in the Agreement, Defendants deny the allegations in the FAC, deny any failure to comply with the laws identified in the FAC, and deny any liability for the causes of action alleged in the FAC. (Agreement, ¶ 2.7.) “If for any reason the settlement does not become effective, Defendants reserve the right to contest certification of any class for any reason and reserves all available defenses to the claims in the Action.” (Agreement, ¶ 2.9.)

On May 7, 2026, plaintiff filed this motion seeking preliminary approval of the Agreement and provisional certification of a settlement class of “ ‘all individuals who were employed by Defendants in California and classified as a non-exempt employee at any time during the Class Period,’ which is April 18, 2020 through February 5, 2026.” (Motion, p. 2, ll. 4-6; see Agreement, ¶¶ 1.5, 1.13.) There is no opposition or response to this motion.

Analysis:

(1) Procedures for Approval of Class Action Settlement

“Rule 3.769 of the California Rules of Court (CRC) sets forth the procedures for settlement of class actions in California. [Citation.] A two-step process is required. First, the court preliminarily approves the settlement and the class members are notified as directed by the court. [Citation.] ‘The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.’ [Citation.] Second, the court conducts a final approval hearing to inquire into the fairness of the proposed settlement. [Citation.] If the court approves the settlement, a judgment is entered with provision for continued jurisdiction for the enforcement of the judgment. [Citation.]” (Cellphone Termination Fee Cases (2009) 180 Cal.App.4th 1110, 1118; see Cal. Rules of Court, rule 3.769(c)-(f).)

(2) The Agreement

The Agreement is between plaintiff and Defendants. (See Agreement, p. 1.) The gross settlement amount (GSA) is \$1,250,000 without any reversion to Defendants. (Agreement, ¶ 1.23.) In addition to the GSA, Defendants must pay separately any employer taxes due. (Ibid.)

The net settlement amount (NSA) means the GSA “less the following payments in the amounts approved by the Court: Individual PAGA Payments, the LWDA PAGA Payment, Class Representative Service Payment, Class Counsel Fees Payment, Class Counsel Litigation Expenses Payment, and the Administration Expenses Payment. The [NSA] is to be paid to Participating Class Members as Individual Class Payments.” (Agreement, ¶ 1.29.)

“The following is a table of the key Settlement terms and the proposed deductions:

“\$1,250,000 ([GSA])

“- \$15,000 (Plaintiff’s proposed service award - not to exceed amount)

“- \$30,000 (Class Counsel Litigation Expenses Payment - not to exceed amount)

“- \$416,666 (Class Counsel Fees Payment - not to exceed 1/3 of settlement)

“- \$25,000 (PAGA Payment - 75% to LWDA / 25% to Aggrieved Employees)

“- \$10,258 (Administration Expenses Payment - not to exceed amount)

“\$753,076 ([NSA])[.]” (Nordrehaug Decl., ¶ 3, bold in original.)

The PAGA penalties are \$25,000 and “allocated 25% to the Aggrieved Employees (\$6,250) and the 75% to LWDA (\$18,750)” (Agreement, ¶ 1.29.) The “ ‘Individual PAGA Payment’ means the Aggrieved Employee’s pro rata share of 25% of the PAGA Penalties” (Agreement, ¶ 1.25.) The “ ‘LWDA PAGA Payment’ means the 75% of the PAGA Penalties paid to the LWDA” (Agreement, ¶ 1.28.)

The “ ‘Class Representative Service Payment’ means the service payment made to the Plaintiff as Class Representative in order to compensate for initiating the Action, performing work in support of the Action, undertaking the risk of liability for Defendants’ expenses, and for the general release of all claims by the Plaintiff.” (Agreement, ¶ 1.15.) The Class Representative Service Payment shall not be more than \$15,000. (Agreement, ¶ 3.2(a).)

The “Class Counsel Fees Payment” shall not exceed one-third of the GSA, or \$416,666. (Agreement, ¶ 3.2(b).) Class Counsel Litigation Expenses Payment shall not exceed \$30,000. (Ibid.)

The “Administration Expenses Payment” shall not exceed \$10,258, except for a showing of good cause and as approved by the court. (Agreement, ¶ 3.2(c).)

“Defendants shall fully fund the [GSA] and also fund the amounts necessary to fully pay Defendants’ share of payroll taxes by transmitting the funds to the Administrator no later than fourteen (14) days after the Effective Date.” (Agreement, ¶ 4.3.)

“ ‘Effective Date’ means the date by when both of the following have occurred: (a) the Court enters a Judgment on its Order Granting Final Approval of the Settlement; and (b) the Judgment is final.” (Agreement, ¶ 1.19.)

“Within fourteen (14) days after Defendants fund the GSA, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment.” (Agreement, ¶ 5.1.)

“In the event the Workweeks accrued during the Class Period are more than 10% greater than 110,000 Workweeks, Defendants may elect to either: 1) purchase the additional Workweeks at a pro rata rate (\$11.36/week), or 2) cut off the Class Period as of the date the 10% cushion is exhausted.” (Agreement, ¶ 9.) “If the number of valid Requests for Exclusion identified in the Exclusion List exceeds 5% of the total of all Class Members, Defendants may, but are not obligated, elect to withdraw from the Settlement.” (Agreement, ¶ 10.)

(3) Certification of Settlement Class

“The court may make an order approving or denying certification of a provisional settlement class after the preliminary settlement hearing.” (Cal. Rules of Court, rule 3.769(d).) “If the court grants preliminary approval, its order must include the time, date, and place of the final approval hearing; the notice to be given to the class; and any other matters deemed necessary for the proper conduct of a settlement hearing.” (Id., rule 3.769(e).)

Code of Civil Procedure section 382 authorizes class actions “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court, one or more may sue or defend for the benefit of all.” (Code Civ. Proc., § 382.) “Class certification requires proof (1) of a sufficiently numerous, ascertainable class, (2) of a well-defined community of interest, and (3) that certification will provide substantial benefits to litigants and the courts, i.e., that proceeding as a class is superior to other methods. [Citation.]” (Fireside Bank v. Superior Court (2007) 40 Cal.4th 1069, 1089.)

To determine whether a class is ascertainable, the court examines “(1) the class definition, (2) the size of the class, and (3) the means available for identifying class members. [Citation.]” (Reyes v. San Diego County Bd. of Supervisors (1987) 196 Cal.App.3d 1263, 1271.) “A related inquiry is manageability of the proposed class[.]” (Global Minerals & Metals Corp. v. Superior Court (2003) 113 Cal.App.4th 836, 849.) “The community of interest requirement embodies three factors: (1) predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.” (Richmond v. Dart Industries, Inc. (1981) 29 Cal.3d 462, 470.)

The settlement class is defined as “all individuals who were employed by Defendants in California and classified as a non-exempt employee at any time during the Class Period,” “from April 18, 2020 through February 5, 2026.” (Agreement, ¶¶ 1.5, 1.13.) “ ‘Aggrieved Employees’ means all individuals classified as non-exempt who were employed by Defendants in California at any time during the PAGA Period,” “from March 13, 2023 through February 5, 2026.” (Agreement, ¶¶ 1.4, 1.33.) “Based on its records, Defendants have represented that the Class consists of 692 Class Members who collectively worked a total of 100,142 Workweeks, and 557 Aggrieved Employees who worked a total of 50,071 PAGA Pay Periods.” (Agreement, ¶ 4.1.)

For purposes of the proposed settlement class, plaintiff’s claims appear to arise from the same course of conduct that gives rise to the claims of other putative class members. (See FAC, ¶¶ 10-24; Nordrehaug Decl., ¶ 30; Declaration of Derek Casey [Casey Decl.], ¶¶ 4-5.) Plaintiff’s counsel appears adequate based on their experience and qualifications. (Nordrehaug Decl., ¶¶ 31-33.) For purposes of settlement, there appears to be a well-defined community of interests and a class action appears to be the superior method to resolve the issues presented in this action. (Nordrehaug Decl., ¶ 30.) It appears the settlement class members can be identified from Defendants’ records. (Agreement, ¶ 4.1.) The parties have identified approximately 692 putative class members ostensibly subjected to the same policies and practices, based on the same legal standards. (Ibid.) The circumstances of this action are typical of wage and hour cases that are settled via the class action process. Plaintiff has met his burden to establish the requirements for certification of a provisional settlement class as defined in the Agreement.

(4) Notice to Settlement Class Members

“If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (Cal. Rules of Court, rule 3.769(f).)

“The content of the class notice is subject to court approval. If class members are to be given the right to request exclusion from the class, the notice must include the following: [¶] (1) A brief explanation of the case, including the basic contentions or denials of the parties; [¶] (2) A statement that the court will exclude the member from the class if the member so requests by a specified date; [¶] (3) A procedure for the member to follow in requesting exclusion from the class; [¶] (4) A statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and [¶] (5) A statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel.” (Cal. Rules of Court, rule 3.766(d).)

“In determining the manner of the notice, the court must consider: [¶] (1) The interests of the class; [¶] (2) The type of relief requested; [¶] (3) The stake of the individual class members; [¶] (4) The cost of notifying class members; [¶] (5) The resources of the parties; [¶] (6) The possible prejudice to class members who do not receive notice; and [¶] (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Apex Class Action LLC (Apex or Administrator) will act as settlement administrator. (Agreement, ¶ 8.1.) “Apex [] disbursement process involves (i) obtaining a Federal Employer Identification Number (FEIN) from the Internal Revenue Service (IRS) under the name of the settlement case; (ii) establishing a QSF to manage the distribution of settlement funds; (iii) conducting preliminary and final calculations to determine the individual settlement amounts, including attorneys’ fees, costs, enhancement awards, and any other court-approved designees; (iv) calculating and reporting state and federal taxes as applicable; (v) and disseminating approved settlement funds and tax forms via First-Class USPS mail.” (Declaration of Sean Hartranft [Hartranft Decl.], ¶ 6.) Based on the proposal, Apex will provide “Certified Language Translation: Spanish,” “NCOA Address Update (USPS),” “Bilingual Toll-Free Contact Center,” “Remail Undeliverable Mail (Skip-Trace),” and other important services pertaining to notice. (Hartranft Decl., Ex. B.) The proposed fees associated with the administration of this settlement are \$9,325. (Ibid.)

“The Administrator will establish and maintain and use an internet website to post information of interest to Class Members including the date, time and location for the Final Approval Hearing and copies of the Settlement Agreement, Motion for Preliminary Approval, the Preliminary Approval, the Class Notice, the Motion for Final Approval, the Motion for Class Counsel

Fees Payment, Class Counsel Litigation Expenses Payment and Class Representative Service Payment, the Final Approval and the Judgment. The Administrator will also maintain and monitor an email address and a toll-free telephone number to receive Class Member calls, faxes and emails.” (Agreement, ¶ 8.8(a).)

No later than three business days “after receipt of the Class Data, the Administrator shall notify Class Counsel that the list has been received and state the number of Class Members, Aggrieved Employees, Workweeks, and Pay Periods in the Class Data.” (Agreement, ¶ 8.4(a).) No later than 14 days after receiving the class data, Apex will distribute the class notice via first-class USPS mail. (Agreement, ¶ 8.4(b).)

“Not later than seven (7) days after the Administrator’s receipt of any Class Notice returned by the USPS as undelivered, the Administrator shall re-mail the Class Notice using any forwarding address provided by the USPS. If the USPS does not provide a forwarding address, the Administrator shall conduct a Class Member Address Search, and re-mail the Class Notice to the most current address obtained. The Administrator has no obligation to make further attempts to locate or send Class Notice to Class Members whose Class Notice is returned by the USPS a second time.” (Agreement, ¶ 8.4(c).)

“Class Members who wish to exclude themselves (opt-out of) the Class Settlement

must send the Administrator, by fax, email, or mail, a signed written Request for

Exclusion not later than the Response Deadline (plus an additional fourteen [14]

days for Class Members whose Class Notice is re-mailed).” (Agreement, ¶ 8.5(a).)

“The Administrator may not reject a Request for Exclusion as invalid because it fails to contain all the information specified in the Class Notice. The Administrator shall accept any Request for Exclusion as valid if the Administrator can reasonably

ascertain the identity of the person as a Class Member and the Class Member’s

desire to be excluded.” (Agreement, ¶ 8.5(b).)

“Each Class Member shall have until the Response Deadline (plus an additional fourteen [14] days for Class Members whose Class Notice is re-mailed) to challenge the number of Class Workweeks and PAGA Pay Periods (if any) allocated to the Class Member in the Class Notice.” (Agreement, ¶ 8.6.)

The proposed notice is attached to the Agreement as exhibit A (Class Notice). The Class Notice contains a brief explanation of the case (Class Notice, pp. 1, 4-6), a statement that the court will exclude a member if the request is submitted by a specified date (id. at p. 2), a procedure for the member to follow in requesting exclusion from the class (id. at pp. 9-10), a statement that the settlement if approved will bind all members who do not request exclusion and that certain claims will be released (id. at pp. 7-8), and a statement that a party who wishes to participate may object and appear through separate counsel (id. at p. 11). The Class Notice provides the workweek calculation and the individual share of the settlement for a class member, as well as a procedure for disputing these calculations. (Id. at pp. 1, 9).

The court finds the class notice easy to understand, sufficient to apprise the members of their rights and obligations in connection with the proposed settlement, and sufficient to notify those members of their rights and opportunity to opt out of or present objections to the settlement. The cost of the notice and administration appears reasonable under the circumstances. The proposed notice appears to meet the statutory requirements. (See Cal. Rules of Court, rule 3.766(d)-(f).) For all these reasons, the court finds that the proposed class notice complies with due process. (See *Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 694-695.)

(5) Preliminary Evaluation of Fairness of Settlement

"Before final approval, the court must conduct an inquiry into the fairness of the proposed settlement." (Cal. Rules of Court, rule 3.769.) "The trial court has broad discretion to determine whether the settlement is fair. [Citation.] It should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement. [Citation.] The list of factors is not exhaustive and should be tailored to each case. Due regard should be given to what is otherwise a private consensual agreement between the parties. The inquiry 'must be limited to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.' " (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1801 (Dunk).) "[A] presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (Id. at p. 1802.)

Applying the factors under Dunk, it appears class counsel conducted an adequate factual and legal investigation. (Nordrehaug Decl., ¶¶ 3-33.) The parties appear to have engaged in arm's length settlement negotiations before an experienced mediator. (Id. at ¶ 5.) The GSA appears reasonable in light of the potential liability and likelihood of success on the merits and, according to plaintiff, "represents more than 23% of the maximum value of the alleged damages at issue in this case at the time this Settlement was negotiated." (Id. at ¶ 6.) An estimated average payout of \$1,088.26 per class member after expenses provides meaningful monetary benefits to settlement class members. (Ibid.) As noted above, plaintiff's counsel appears qualified with experience in this area of law. (Nordrehaug Decl., ¶¶ 31-33.)

The involvement of a mediator strongly weighs in favor of finding that the Settlement represents a non-collusive and arm's-length agreement. (See Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 128-129.) "The court undoubtedly should give considerable weight to the competency and integrity of counsel and the involvement of a neutral mediator in assuring itself that a settlement agreement represents an arm's length transaction entered without self-dealing or other potential misconduct." (Id. at p. 129.)

The court notes there are risks involved in litigating this action through trial, including that class certification might be denied or only partially granted, or class-wide liability might be substantially less than the maximum potential exposure. The court has considered potential defenses to liability. The court has also considered the likely duration of litigating this action through trial and a potential for recovery that is less than the maximum amount of liability. The court has considered the views of experienced class counsel regarding such risks and the relative certainty of settlement compared to continued litigation. The court has considered the benefits to the settlement class if the Agreement is approved compared to potential benefits and risks if the litigation continues.

Based on the motion, the memorandum, and the supporting declarations, the court finds the Agreement is within the range for possible approval. The Agreement appears reasonable given the legal and factual requirements for each set of claims, the benefits of early settlement, and the reality that a disputed certification motion might not be fully successful. The available evidence and information appearing in the motion and discussed above shows that plaintiff has engaged in formal and informal investigations and discovery to which Defendants have responded by providing relevant data and records. There is no evidence to suggest that the Agreement is the product of collusion. Plaintiff has met his burden to establish that, for purposes of preliminary approval, the proposed settlement is fair, reasonable, adequate and in the best interests of the putative class. (See Dunk, supra, 48 Cal.App.4th at p. 1801.) The court will evaluate the proposed fees, costs, and other aspects of the proposed settlement in more detail at the final approval hearing.

(6) Scope of Class Release

"A class action settlement must be approved by the court to protect 'class members ... whose rights may not have been given due regard by the negotiating parties.' [Citation.] Consequently, courts must remain vigilant and ensure that class releases do

not extend to claims that are beyond the scope of the allegations in the complaint. Releases must be appropriately tethered to the complaint's factual allegations. ... Requiring a reasonable connection prevents the release from extending to claims that are only remotely related to the allegations in the complaint." (Amaro v. Anaheim Arena Management, LLC (2021) 69 Cal.App.5th 521, 538 (Amaro).)

"Effective on the date when Defendants fully fund the entire Gross Settlement Amount and fund all employer payroll taxes," "Participating Class Members, on behalf of themselves and their respective former and present representatives, agents, attorneys, heirs, administrators, successors, and assigns, release Released Parties from the Released Class Claims." (Agreement, ¶¶ 6, 6.2.)

" 'Released Parties' means Defendants and each of its past, present, and future parents, subsidiaries, affiliated and related entities, predecessors, successors, and assigns, and all of their respective past, present, and future officers, directors, members, partners, shareholders, employees, agents, insurers, reinsurers, and attorneys, and any person or entity alleged or that could have been alleged to be a joint employer of the Class Members." (Agreement, ¶ 1.42.)

"Released Class Claims" means any and all claims, rights, demands, liabilities,

penalties, interest, restitution, damages, costs, and attorneys' fees that were alleged, or reasonably could have been alleged, in the Action, based on the same factual predicate as the wage-and-hour claims asserted in the Operative Complaint, arising during the class period while a Class Member was employed in a non-exempt position in California. The Released Class Claims include claims alleged in the Operative Complaint or claims that could have been alleged based on the facts in the Operative Complaint ... to the extent such claims arise from the same facts, transactions, events, or omissions alleged in the Operative Complaint." (Agreement, ¶ 1.42.)

The release appears "appropriately tethered to the complaint's factual allegations" and does not appear to seek to release claims outside the class period. (Amaro, *supra*, 69 Cal.App.5th at p. 538.) The release will not be finally approved until the final approval hearing.

(7) Preliminary Evaluation of the PAGA Settlement

PAGA is set forth in Labor Code sections 2698 through 2699.8. A PAGA action is a type of *qui tam* action, in which a private party is authorized to bring an action to recover a penalty on behalf of the government and receive part of the recovery as compensation. (Huff v. Securitas Sec. Servs. USA, Inc. (2018) 23 Cal.App.5th 745, 753.) In doing so, the employee acts as proxy for the state labor law enforcement agency; the proceeding is designed to protect the public, not to benefit private parties. (Amalgamated Transit Union, Local 1756, AFL-CIO v. Superior Court (2009) 46 Cal.4th 993, 1003.) The dispute is between the employer and the state. (Kim v. Reins International California, Inc. (2020) 9 Cal.5th 73, 81 (Kim).) "Of the civil penalties recovered, 75 percent goes to the [LWDA], leaving the remaining 25 percent for the 'aggrieved employees.' " (Id.; see Lab. Code, § 2699, subd. m.)

The purpose of PAGA is not to recover damages, restitution, or redress the employees' injuries, but to recover civil penalties to remediate present violations and deter future ones. (Kim, *supra*, 9 Cal.5th at p. 86.) "The superior court shall review and approve any settlement of any civil action filed pursuant to this part. The proposed settlement shall be submitted to the [LWDA] at the same time that it is submitted to the court." (Lab. Code, § 2699, subd. (s)(2).)

The penalties at issue in this action carry an estimated potential of \$100, or in some cases more, for each violation per pay period. (See Lab. Code, § 2699, subd. (f)(2)(A).) However, the court has discretion to "award a lesser amount than the maximum civil penalty amount specified by this part ... if, based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust, arbitrary and oppressive, or confiscatory." (Lab. Code, § 2699, subd. (e)(2).) Under these circumstances, the court finds that the purposes of PAGA to remediate prior violations and deter future ones is largely achieved by the proposed class settlement. The PAGA penalties of \$25,000 as part of the overall settlement structure appears reasonable, fair, and adequate.

“ ‘Released PAGA Claims’ means from any and all claims for civil penalties,

attorneys’ fees, interest, and costs under [PAGA] ... that were alleged, or reasonably could have been alleged, based on the same factual predicate as the PAGA allegations in the Operative Complaint and PAGA Notices, arising during the PAGA Period.” (Agreement, ¶ 1.41.)

The PAGA release appears sufficiently tethered to the facts and transactions giving rise to the PAGA penalties at issue in the PAGA period. (See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 83, disapproved on other grounds in *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664, 709-710.) Plaintiff has provided evidence that he has submitted the Agreement to the LWDA when he filed his preliminary approval papers. (Nordrehaug Decl., ¶ 22; Proof of Serv. ISO Motion, filed May 7, 2026; see Lab. Code, § 2699, subd. (s)(2).) There has been no appearance by the LWDA. The PAGA settlement will not be finally approved until the Agreement is approved at the final approval hearing.

(8) Attorney Fees

Recovery of attorney fees and costs are available to a prevailing plaintiff under statutes applicable to claims at issue in this action. (See Labor Code §§ 218.5, 218.6, 226, subd. (h), 1194, subd. (a), 2699, subd. (k)(1).) “We join the overwhelming majority of federal and state courts in holding that when class action litigation establishes a monetary fund for the benefit of the class members, and the trial court in its equitable powers awards class counsel a fee out of that fund, the court may determine the amount of a reasonable fee by choosing an appropriate percentage of the fund created.” (*Laffitte v. Robert Half Internat. Inc.* (2016) 1 Cal.5th 480, 503-506 (*Laffitte*) [affirming attorney fee award of one-third of common fund class action settlement with lodestar cross-check].)

“Under the lodestar [cross-check] method, attorney’s fees are calculated by first multiplying the number of hours reasonably expended on the litigation by a reasonable hourly rate of compensation.” (*Syers Properties III, Inc. v. Rankin* (2014) 226 Cal.App.4th 691, 697.) “[T]he lodestar is the basic fee for comparable legal services in the community; it may be adjusted by the court based on factors including, as relevant herein, (1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award.” (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) “The purpose of such adjustment is to fix a fee at the fair market value for the particular action. In effect, the court determines, retrospectively, whether the litigation involved a contingent risk or required extraordinary legal skill justifying augmentation of the unadorned lodestar in order to approximate the fair market rate for such services.” (*Ibid.*)

“A lodestar cross-check is simply a quantitative method for bringing a measure of the time spent by counsel into the trial court’s reasonableness determination; as such, it is not likely to radically alter the incentives created by a court’s use of the percentage method. ... the lodestar calculation, when used in this manner, does not override the trial court’s primary determination of the fee as a percentage of the common fund and thus does not impose an absolute maximum or minimum on the potential fee award.” (*Laffitte*, supra, 1 Cal.5th at p. 505.)

Here, plaintiff will seek up to one-third of the GSA as attorney fees. The court finds this request is within the range of approval. (See *Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 557, fn. 13 [“Empirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery.”].) The court will apply the above standards to determine the actual attorney fee award at the final approval hearing. Plaintiff shall provide evidence of the reasonableness and necessity of these attorney fees when he files his final approval papers.

(9) Litigation Costs

Plaintiff seeks reimbursement of litigation costs up to \$30,000. (Agreement, ¶ 3.2(b).) The court will evaluate these costs at the final approval hearing. Plaintiff shall provide evidence of the reasonableness and necessity of these costs when he files

his final approval papers.

(10) Incentive Award

Incentive awards to a class action plaintiff are permitted based on a number of factors. (See *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804 (Clark); *Golba v. Dick's Sporting Goods, Inc.* (2015) 238 Cal.App.4th 1251, 1272 (Golba).) Courts have determined an "incentive award is appropriate 'if it is necessary to induce an individual to participate in the suit,' and have noted 'relevant factors' to consider in deciding whether such an award is warranted. [Citation.] Those factors include 'the actions the plaintiff has taken to protect the interests of the class, the degree to which the class has benefitted from those actions, and the amount of time and effort the plaintiff expended in pursuing the litigation.' [Citation.] Federal district courts have identified other factors as well, including 'the risk to the class representative in commencing suit, both financial and otherwise,' 'the notoriety and personal difficulties encountered by the class representative,' the duration of the litigation, and 'the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.' " (Clark, supra, 175 Cal.App.4th at p. 804.)

"Incentive awards to class representatives are intended to compensate class representatives for the work and risk undertaken on behalf of the class, to reimburse expenses incurred in the class litigation, and sometimes to recognize the willingness of class representatives to act as a private attorney general. [Citation.] An incentive award may be appropriate to induce someone to serve as a class representative. In determining whether to make an incentive award, the court may consider (1) the risk, both financial and otherwise, the class representative faced in bringing the suit; (2) the notoriety and personal difficulties encountered by the class representative; (3) the amount of time and effort spent by the class representative; (4) the duration of the litigation; and (5) the personal benefit received by the class representative as a result of the litigation. [Citation.]" (Golba, supra, 238 Cal.App.4th at p. 1272.)

Plaintiff seeks an incentive award of \$15,000. (Agreement, ¶ 3.2(b).) The court will evaluate the proposed incentive award in light of the above standards at the final approval hearing. Plaintiff shall provide evidence supporting the requested incentive award with his final approval papers.

For all these reasons, the court will grant plaintiff's motion for preliminary approval.

Judges

Judge Donna D. Geck

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